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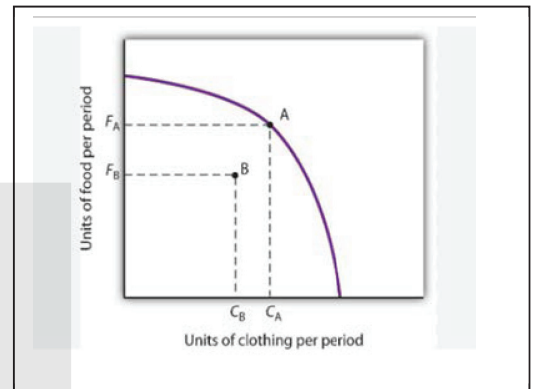
1-B:

A: Individuals enjoying “too much leisure” has no link with point inside the production possibility frontier.

B: Yes, more of one good can be produced without decreasing the production of another, this is because there are spare resources available, for example : labor and capital representing that the economy is in a “situation of unemployment”. This can be seen in figure on the right.

C: If the combination of labor and capital is wrong, this does not mean that you will be inside the PPC.

D: There may not be shortages of some goods, since you are inside PPC , which represents the “availability of resources”



2-A:

A: A free good is present in abundance , representing “unlimited supply” and since the basic principle of scarcity does not exist, choices do not have to be made, which means “there is no opportunity cost “

B: Good that is “non-excludable” and “non-rivalrous” represents a public good.

C: Again, the good supplied by government with zero charge is referred as “ public good” or this may represent direct provision of certain essential goods by the government for free.

D: A good that receives a 100 percent subsidy by the government has no link to being a “free good”

3-D:

A: Since the economy is moving away from a planned economy to a more market focused economy, the government ownership of resources has decreased.

B: Again, services provided by the public sector will decrease as private sector takes charge.

C: This transition will lead to a “decrease in central planning”

D: Since it will be operated according to price mechanism that is the market forces of demand and supply, consumer preferences will be produced, or in other words, those goods that consumers demand, which represents **consumer sovereignty**, making this the answer.

4-D:

A: The benefit to the society ,that is , the social benefits will be greater than the benefits to the individual that is the private benefit, which in turn gives existence to external benefits.

B: The statement, the “good is excludable” is incorrect as it is said that “ the aim is to vaccinate all children”

C: It is a merit good, which has tremendous benefits to the society as a whole

D: Yes, this is correct as under market forces, due to imperfections, the good would have been under consumed, and due to it being undercharged, it would have been under produced, representing under-allocation of resources.

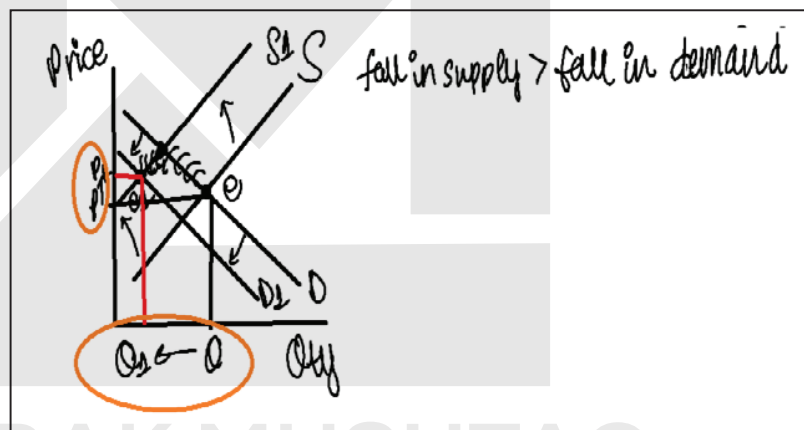
5-B:

A: If the decrease in demand is double the decrease in supply, there will be a surplus overall, and **in turn a fall in price, and this will result in a contraction in equilibrium quantity.**

B: If the decrease in supply is double the decrease in demand, this represents that there will be a greater shortage, and therefore an **upward pressure on prices, which will contract equilibrium quantity. This can be seen through the figure below**

C: An increase in demand double the increase in supply, would lead to greater overall shortages, and **in turn a rise in price and an extension in equilibrium qty.**

D: An increase in supply which is double the increase in demand will result in surplus and **in turn a fall in prices, and a subsequent extension in equilibrium quantity.**



6-D:

A: For a good to be a "close substitute", the cross elasticity of demand would be positive, with a coefficient greater than 1.

B: For a good to be a "necessity", the value of "income elasticity of demand" must be "0"

C: A normal good has a "positive income elasticity of demand"

D: An inferior good should have a "negative income elasticity of demand"

7-A:

$$\begin{aligned} QD &= 400 - 10(P) \\ QD &= 400 - 10(20) \\ QD &= 400 - 200 \\ "QD &= 200" \\ "QS &= 100" \end{aligned} \left. \vphantom{\begin{aligned} QD &= 400 - 10(P) \\ QD &= 400 - 10(20) \\ QD &= 400 - 200 \\ "QD &= 200" \\ "QS &= 100" \end{aligned}} \right\} \begin{array}{l} 200 > 100 \\ \text{Disequilibrium} \\ \text{excess demand} \\ \text{of 100 units.} \end{array}$$

8-C:

We are interested in an option that causes an increase in demand (rightward shift in the demand curve) and a decrease in supply (leftward shift in the supply curve).

A - A decrease in real incomes would cause a decrease in demand for cars. Whereas, a rise in costs of new car production does cause a fall in supply, but overall this option becomes incorrect.

B - A decrease in price of petrol that is a complement to car, will increase the demand for cars. Whereas, a subsidy on new car production is responsible for bringing about a fall in cost of production, in turn resulting in a rise in supply thereby making this option incorrect.

C - An increase in the availability of loans may increase borrowing for car purchases, this means there will be a rise in demand for cars. Whereas, imposition of a specific tax on new cars will increase the cost of production thereby causing a fall in supply of cars. There is a simultaneous increase in demand and a fall in supply which makes this option correct.

D - An increase in the price of train travel will cause consumers to switch to car travel resulting in an increase in demand for cars. However, an increase in the number of car producers is representative of an increase in supply, which is why this option becomes correct.

9-C:

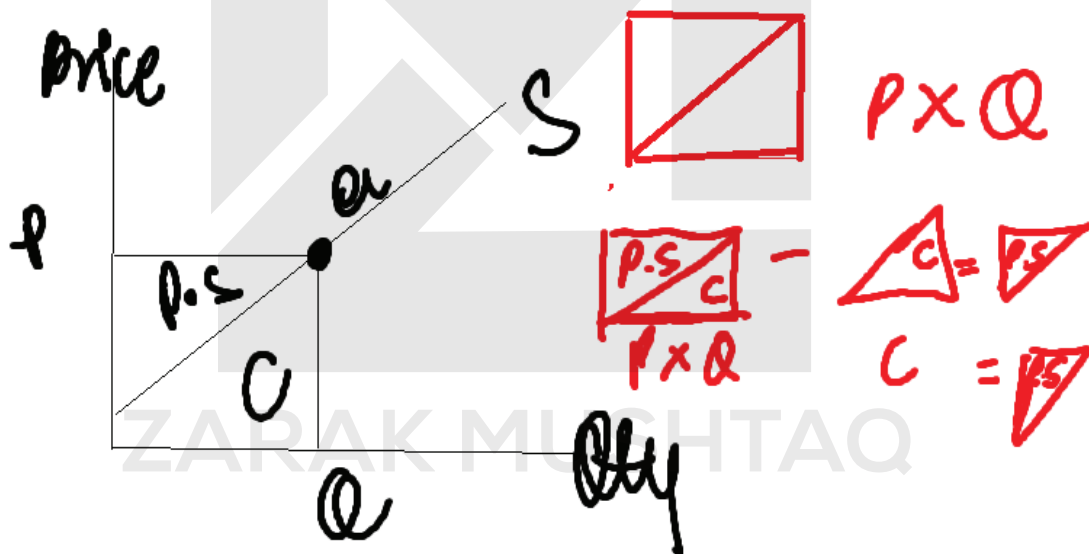
⑨ Unitary demand $\Rightarrow$ Total Revenue unchanged.
 * Current revenue $= 20 \times 40000 = 800,000$
 * Now, the firm charges \$5, and Total Revenue is the same.
 Quantity $= \frac{800,000}{5} \Rightarrow 160,000$

10-B:

An increase in incomes would cause a fall in demand for bus journeys in Singapore, since it is an "inferior good" for them (causing the demand curve to shift leftwards)

Whereas, an increase in incomes would cause an increase in demand for buses in Tanzania, as for the people there, it is a "normal good" (causing the demand curve to shift rightwards)

11-C:



12-C:

A: Upon a rise in incomes of consumers, the demand for good E that is a normal good would increase, this is because there is a positive relationship between incomes and demand for normal goods.

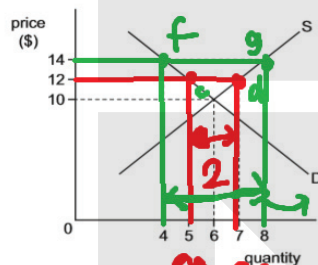
B: Because of a rise in prices as a result of shortages created due to a rise in demand, producers will be "signaled to extend qty supplied"

C: This reason behind an extension in qty supplied that is given is incorrect as provision of subsidies to good E would reduce costs, and cause an increase in supply. Here, there is "no shift in supply". This option provides a statement which is not correct, this is why, this becomes the answer

D: Because of a rise in price of good F, which is a substitute for E, there will be an increase in demand or in other words, a rightward shift in the demand curve for good E.

13-D:

13 The diagram shows the market for CDs.



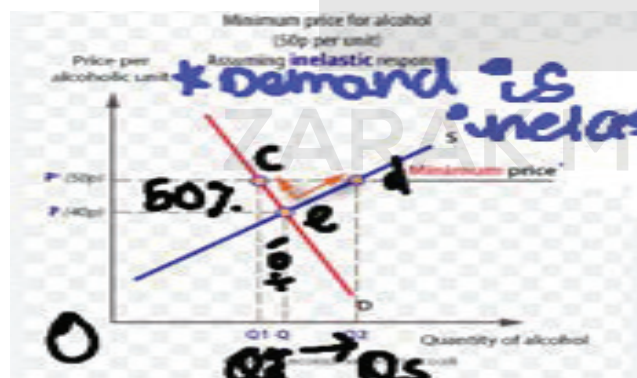
* Initially excess supply was 2 units
 * New excess supply is 4 units
 ↳ This means that excess supply increased by 2 units?

A government raises the minimum price of CDs from \$12 to \$14.

What will be the outcome?

- A Excess demand increases by 2 units.
- B Excess demand increases by 4 units.
- C Excess supply decreases by 2 units.
- ☒ D Excess supply increases by 2 units.

14-B:



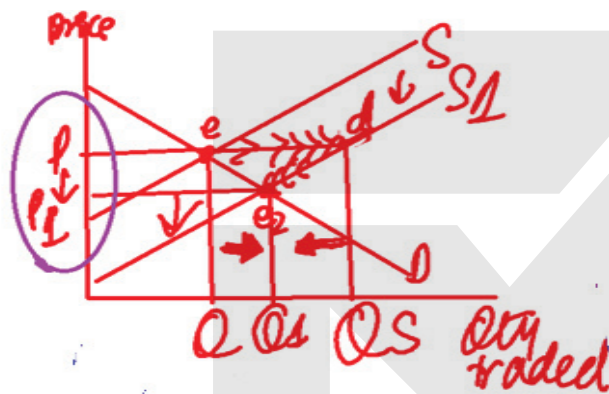
A – Since the demand for alcohol is price-inelastic, a rise in price, as a result of minimum prices would lead to a contraction in quantity demanded, which becomes the qty traded, by a relatively smaller percentage, leading to total revenue being maximized.

B – Although the contraction in qty demanded or sales of alcohol is less, it is still reducing, thus making this correct.

C _ As qty demanded contracts and qty supplied extends, there is a surplus.

D – Minimum price does not generate tax revenue.

15-C:



D- Market forces might not stabilize output

A-Initially, a disequilibrium, specifically a surplus shown from "d to e" will exist.

B - As a result of a subsidy, there is a rise in supply and because of a surplus, there is a fall in prices.

C - Subsidy is a financial incentive, which reduces costs of production, making this correct.

16-B:

A: This option is incorrect because the classification of railway journeys as a public good is incorrect .Public goods are typically characterized by non-excludability and non-rivalry in consumption, and railway services exhibit the features of rivalry and excludability.

B:In contrast, option B is correct because privatizing the railway industry can attract private investment and provide additional funds for investment from a wider range of sources. By privatizing, the government can sell shares to private companies or investors, who can then bring in capital, to improve the railway infrastructure and services. Privatization can expand the pool of resources available for investment in the railway industry, reducing the burden on government finances

C: This option is incorrect because while privatization may lead to a focus on maximizing producer surplus, it is not the primary reason for privatizing the railway industry. The **government would also take “consumer surplus in consideration”**

D. Railway fares can be taxed to raise money for the government only if railways are privatized.

In this context, the word "only" suggests that the taxation of railway fares is limited to the case where railways are privatized. This wording implies that if the railways remain under government ownership, **fare taxes cannot be imposed.**

Railway fares can be taxed to raise money for the government in a wider range of scenarios, including both privatized and government-owned railways.

17-D:

A - Corporation tax represents tax on profits or incomes of firms making this incorrect

B -Good and services tax is an “indirect tax”

C -Individual Direct tax is a tax on income

D - Personal asset tax is imposed by government on certain assets for example: cars, or equipment. This may also include houses that are regarded as real property

18-A:

A- Money paid as a gift to a charity: This option is correct because transfer payments refer to payments made without receiving goods or services in return. Money given as a gift to a charity falls under this category as it involves a transfer of funds without an exchange of goods or services.

B. Money paid as a tip to a waiter: This option is incorrect because tipping a waiter typically involves a voluntary payment in appreciation of their service. It is not considered a transfer payment as it is a payment for a service received.

C. Money paid as commission to a salesperson: This option is incorrect because commission payments are made in exchange for the salesperson's services or performance.

D. Money paid for an imported good: This option is incorrect because payment for an imported good involves a transaction where goods are exchanged for money. It is considered a purchase or payment for goods rather than a transfer payment

19-C:

A. Government spending increases and society's marginal propensity to save falls: While "increased government spending", and an increase in "consumption" can contribute to an increase in aggregate demand, it does not lead to a decrease in the rate of inflation. If the Aggregate demand exceeds the economy's productive capacity, it could potentially contribute to **demand pull inflation**.

B. Reduced interest rates result in consumers increasing their spending: This option implies that reduced interest rates encourage consumers to spend more. While increased consumer spending can increase Aggregate demand, if it exceeds Aggregate supply, this would lead to shortages and in turn **"demand pull inflation"**

C. The government increases direct taxes and the level of investment falls: This option states that the government increases direct taxes, which can reduce disposable income and consumption. Additionally, a decrease in investment can lead to reduced Aggregate demand and economic activity. These factors can contribute to a decrease in aggregate demand and potentially lower inflationary pressures. **This is why, this becomes correct**

D. The prices of imported raw materials rise, while demand for exports falls: This option describes a situation where the prices of imported raw materials increase, which could potentially lead to higher production costs for businesses, and when Aggregate supply reduces, this leads to **cost push inflationary pressures**.

Similarly, a decrease in demand for exports could impact the economy in form of a decline in export revenues, leading to a decrease in Aggregate demand, which can **dampen inflationary pressures**, but **the overall impact on inflation rate is uncertain**

20-A:

A. When X has lower opportunity costs in producing rice than Y: Comparative advantage is determined by comparing the opportunity costs of producing a particular good or service between two countries. If country X can produce rice at a lower opportunity cost (in terms of other goods or services it has to forgo) compared to country Y, then country X has a comparative advantage in rice production.

B. When X is in a customs union and Y is outside that union: The presence or absence of a customs union does not determine a country's comparative advantage in rice production

C. When X uses dollars for trading and Y uses a different currency: The currency used for trading does not determine a country's comparative advantage in rice production. Comparative advantage is based on factors such as resource endowments, and efficiency in production, rather than the specific currency used in trade transactions.

D. When X uses more units of labor than Y to produce rice: The number of units of labor used to produce rice does not determine a country's comparative advantage. A country may use fewer units of labor but still have a higher opportunity cost of rice production due to other factors.

21-A:

A. An increased budget deficit and a fall in energy costs: When there is an increased budget deficit, it typically means that the government is spending more than it is collecting in revenue. This increased government spending can stimulate aggregate demand by injecting more money into the economy. Additionally, a fall in energy costs can lower production costs for businesses, leading to potentially increasing aggregate supply. Therefore, both factors can contribute to a rise in both aggregate demand and aggregate supply.

B. An increased budget surplus and a rise in energy costs: An increased budget surplus indicates that the government is collecting more revenue than it is spending. It generally implies a reduction in government spending or an increase in taxes. This reduction in government spending can potentially dampen aggregate demand. Meanwhile, a rise in energy costs can increase production costs, potentially reducing aggregate supply.

C. An increased trade deficit and a fall in indirect tax: An increased trade deficit means that a country is importing more goods and services than it is exporting, which can potentially reduce aggregate demand due to increased spending on imports. A fall in indirect taxes can reduce costs of production, increasing Aggregate supply.

D. An increased trade surplus and a rise in indirect tax: An increased trade surplus means that a country is exporting more goods and services than it is importing. While a trade surplus can contribute to an increase in aggregate demand, a rise in indirect taxes can increase costs of production of producers, leading to a fall in "Aggregate Supply"

22-C:

22 The table gives figures from the current account of the balance of payments for New Zealand in 2018.

There are two blank spaces, X and Y, in the account.

	NZ\$(millions)
exports of goods	54 700
imports of goods	57 400
balance of trade in goods	X
balance of trade in services	Y
primary income balance	-10 600
secondary income balance	-400
current account balance	-8 500

Balance of trade in goods = Export (TR) - Import (TR) of goods
 $\rightarrow 54700 - 57400$
 $X = -2700$

Four students were asked to fill in the spaces.

Which student was correct?

	X	Y
A	+2700	+5200
B	+2700	-5200
C	-2700	+5200
D	-2700	-5200

Current account = BOT in goods + BOT in services + primary income + secondary income
 $-8500 = -2700 + Y - 10600 - 400$
 $Y = 5200$

23-C:

A: Terms of trade does not explain dependence on “imports”

B: Terms of trade is the ratio of import prices to the ratio of export prices .Even if a country’s export prices are decreasing, this may not necessarily mean that the country’s competitiveness of exported goods is rising, as it may be influenced by the prices rivals are offering too.

C: Terms of trade is the relative price of exports in terms of imports. **It can be interpreted as the amount of “imported goods” an economy can purchase per unit of “exported goods”, which means that , it indicates the “purchasing power of exports relative to imports” ,making this correct**

D: The relative strength of a currency in a foreign exchange market represents changes in exchange rate ,which affects TOT.

24-C:

A: This is incorrect as “you need reserves to maintain the fixed ER system” .Also ,reserves are protected under floating ER system as they are not used to maintain the exchange rate

B: Whether or not terms of trade worsens or improves depends upon whether there is depreciation or appreciation following a change to a floating ER system.

C: A fixed ER system adds in elements of certainty and stability in an economy, as a particular exchange rate is maintained. This is why, this becomes correct

D: Exchange rate affects the prices of goods **externally** .

25-D:

A: Deflation is a persistent and a sustained fall in the general price level of an economy, which leads to a rise in the real value of money.

B and C: Depreciation and devaluation have nothing to do with internal value of currency. Instead, they represent a fall in the “external value of a country’s currency”

D: Inflation erodes the real value or purchasing power of currency as \$1 can be used to “purchase less and less than before”

26-D:

A: Lowering of the level of import duties, when makes imports relatively cheaper would lead to an increase in “import expenditures”, which would have a “worsening effect on the deficit”

B: A reduction in the level of income tax, when leads to a rise in disposable income, will lead to a rise in consumption, even on “imported goods”, which would have a “worsening effect on the deficit”

C: As a result of interest rates being lowered , there will be a lesser incentive to save, and when savings as a proportion of household disposable income decreases, this will increase the expenditure on imported goods, which will again have a worsening effect on deficit

D: If the government makes use of grants to encourage foreign direct investment, this will lead to inflows in the balance of payments, which can help to “counter a deficit”

27-B;

A: This is incorrect as “lower interest rates” lead to a fall in cost of borrowing.

B: Upon a rise in Aggregate demand, when Aggregate demand exceeds Aggregate supply, there will be shortages and in turn a rise in general price level, representing “demand pull inflation”, making this correct

C: Lowering of the interest rates will lead to a reduced incentive to invest in the economy, which will lead to less hot money inflows, and when the demand for currency falls, this leads to “depreciation” of the exchange rate.

D: An increase in government debt is associated with fiscal policy and not monetary policy.

28-C:

Since this involves government directly reducing its “expenditure”, this represents “contractionary fiscal policy”

Reduction of “unemployment benefits” would create incentive effects for workers, and this will push all those who have been voluntarily unemployed because of unemployment benefits to work again. And when supply of workers increases, this will increase Aggregate supply, acting as “a supply side policy”

There is no link to “money supply”, “interest rate” or “exchange rate”, which represents that “monetary policy” is not used

This is why, only this option becomes correct

29-A:

A: A long run supply side policy, for example: education and training, would improve skillset of workers, and this would help improve “labor productivity” that is when less labor are able to produce more using less resources, helping to reduce costs, and this would lead to the export-oriented goods becoming competitive, which may help in correction of a BOT deficit

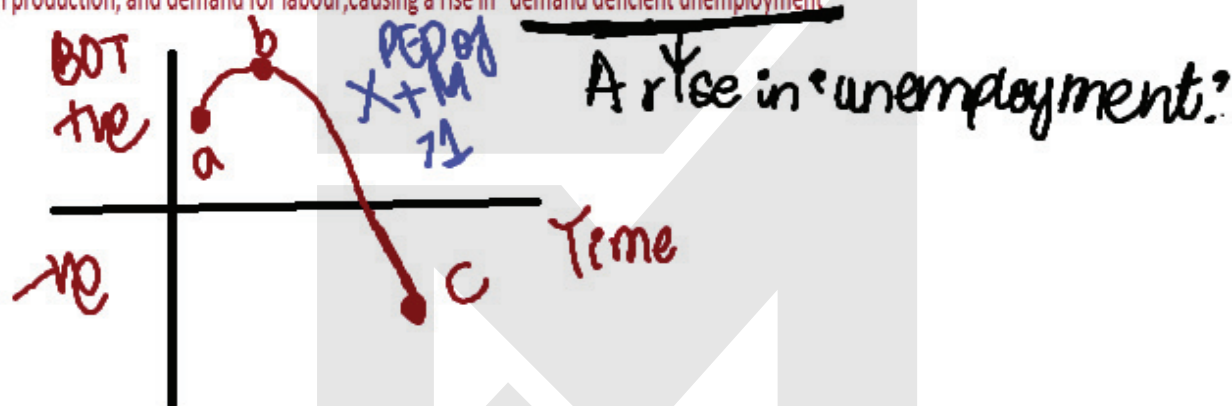
Similarly, when the flexibility and mobility of workers increases, this would help to “reduce structural unemployment”

B:

As can be seen on the Reverse J curve below, appreciation would lead to a worsening effect on the BOT deficit in the long run. This is because, as imports appear relatively cheaper and competitive, there would be an extension in qty demanded of imports in the long run, when the demand for them is elastic, leading to a rise in "import expenditures", which would instead cause a "rise in the volume of imports".

worsening effect on deficit.

In the long run, when the combined sum of price elasticities of demand of imports and exports is greater than 1, which leads to a Balance of Trade deficit as when import goods become relatively cheaper and exports become expensive, there is a rise in import expenditures and a fall in export revenues, and since this leads to net leakages from the circular flow, this would lead to a fall in Aggregate demand. And, this would lead to a fall in production, and demand for labour, causing a rise in "demand deficient unemployment".



C: A rise in interest rate would increase the costs of borrowing and reduce investments, which would lead to a fall in "Aggregate demand", and this would lead to a fall in production, demand for labor and in turn result in a rise in unemployment

D: A rise in direct taxes is a contractionary fiscal policy that would again reduce Aggregate demand and lead to a rise in unemployment, as mentioned above.

30-A:

A: When direct taxes for example: income taxes and corporation taxes are reduced, this would increase consumption and investment, leading to a rise in Aggregate demand.

Similarly, after making exports competitive, and imports relatively expensive, in the long run, devaluation would lead to a BOT surplus when the Marshall learner condition is fulfilled, that is, the sum of PED of imports and exports is greater than 1, contributing to a rise in "Aggregate demand"

